a support area where the stock will drop and reverse. This setup is rare, but I've seen price hit the trendline and reverse there.

Table 31.11 shows special features of the double top.

Top-to-top variation. Does the price difference between the highest high in each top indicate better performance after the breakout? Yes! Is it a big difference? No!

I found that when the price difference between the two tops was greater than the median, performance improved but only slightly as the table shows.

Lower top. If the left top is lower than the right, performance improves but only marginally. The difference is probably not statistically significant.

Sample Trade

Figure 31.6 shows a sample trade in an Adam & Eve double top and serves as a tutorial for using progressive stops to protect profits.

The Adam top is narrow and composed of a one-day price spike. Eve is wider and more rounded-looking. When price closes below the confirmation line, the twin peaks become a valid double top. How will this pattern perform?

The first thing to notice is that this double top occurs in a bull market. That suggests a smaller decline than if it were in a bear market. The S&P 500 index had just reached a new high on 7 October, but was easing lower on the breakout day (16 October). The five stocks in the apparel industry that I follow all made highs in October 1997, and by the confirmation date were trending downward. That was a good indication that the stock should be sold (if you owned it).